

Upward PMI revisions do not alter a weak near-term outlook

- Despite a small upward revision to 48.5, the Eurozone composite PMI remained in contraction territory in May. The modest fall relative to April was driven by industry, whereas activity in services stabilized. As a growing body of both soft and hard economic data points to faltering activity, we think the Eurozone economy is at risk of contracting in Q2 and will struggle to regain momentum thereafter.
- The details of PMIs for Italy and Spain indicate the hit to their services sectors remains relatively uneven. In Italy, the contraction in services activity deepened in May as domestic demand weakened and cost pressures rose. In Spain, services PMI returned just above the neutral 50pt mark, indicating a stabilization in activity. But demand remains fragile, and cost pressures keep intensifying.

The Eurozone composite PMI was revised higher from the flash estimate in May, printing at 48.5, but still marking a further deterioration from 48.8 in April. The final data suggest that the slowdown became increasingly broad-based across sectors. Services PMI was revised up to 47.7, up marginally from April but nevertheless indicating another contraction in activity reflecting the growing drag from a pick-up in inflation and lingering uncertainty on households' real incomes and purchase intentions. This is consistent with both hard inflation data for May as well as [inflation expectations surveys](#). Importantly, costs have started to become a tangible issue for services firms too as they report sharpest pick-ups in input costs since 2022.

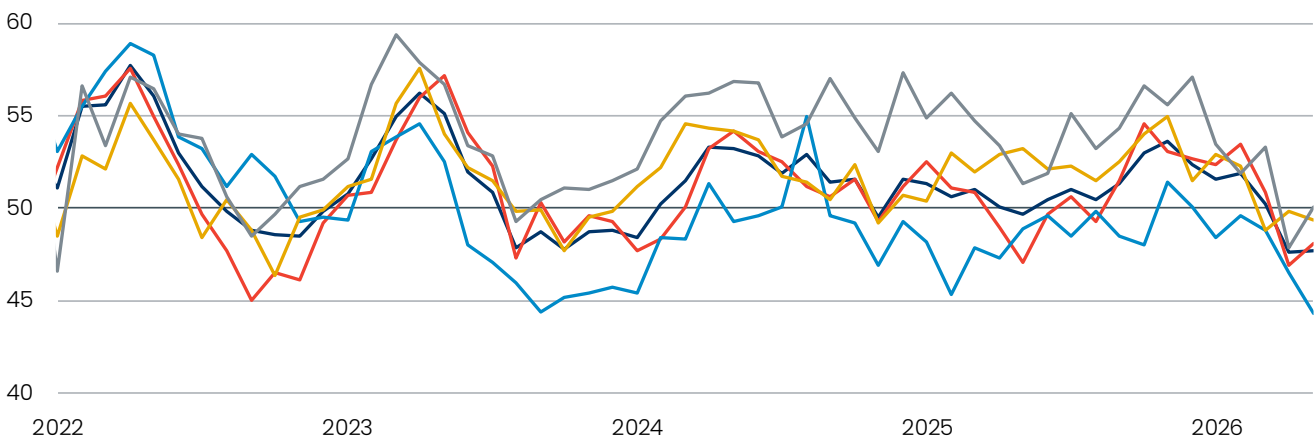
Chart 1: Services sectors remained in contraction in all big-4 countries except for Spain

Eurozone: Services PMI by country

Diffusion index (neutral = 50)

65

— Eurozone — Germany — France — Italy — Spain



Sources: Oxford Economics, S&P Global

The [manufacturing PMIs](#) released earlier this week continued to show relative resilience of the sector to the ongoing energy price shock despite a fall in the headline index and the fact that longer supply delivery times are

mechanically pushing up the index. We are sceptical this will last if the conflict drags on. Indeed, much of the recent strength appears to reflect [temporary support from inventory frontloading](#) and efforts to secure inputs ahead of further price increases and supply disruptions. As elevated energy prices persist and risks of fuel shortages grow, these supports are likely to fade, leaving the sector increasingly exposed to rising costs and weaker demand. Tightening financing conditions due to expected interest rate hikes by the ECB will modestly add to the drag as well, particularly for interest-sensitive subsectors.

For services, the scale of the hit remains uneven. French services activity has taken the largest hit so far, even if May's outturn was revised up to 44.3 in May relative to the flash estimate. Indeed, surging energy costs, geopolitical uncertainty and weakening demand triggered the sharpest decline in activity and new business since late 2020. Germany's services PMI was also revised modestly higher from the flash reading but remained in contraction territory at 48.1 as higher energy costs and uncertainty continued to weigh on client demand. Overall, the surveys point to a meaningful drag on eurozone domestic demand in Q2, with France emerging as the main weak spot.

Today we received the details of Italian and Spanish prints which do not get flash estimates. Positively, activity in both continued to expand, even if modestly, with composite PMIs at 50.4 for Italy and 50.2 for Spain. However, the relative sectoral performance diverged as manufacturing activity fared better in Italy relative to services, with the opposite taking place in Spain.

Italy's services sector remained in contraction in May, with the PMI falling to 49.4 from 49.8 as domestic demand weakened under the weight of higher energy prices and heightened uncertainty linked to the elevated energy prices. Worryingly, input cost inflation accelerated to a 40-month high, further squeezing firms' margins. This suggests that the energy shock is increasingly weighing on Italy's domestic economy and points to subdued GDP growth in Q2. Still, continued employment growth and a modest improvement in business confidence indicate that the slowdown is likely to remain gradual rather than develop into a sharp downturn.

Spain's services sector stabilised in May after contracting in April, with the Services PMI rising to 50.1 from 47.9 as activity and new business returned to modest growth. This marks a welcome improvement and raises hopes that the slowdown in domestic demand triggered by the recent energy price shock will prove relatively shallow. However, underlying demand remained fragile, with export orders continuing to decline and firms reporting persistent uncertainty linked to the conflict in the Middle East. Cost pressures stayed intense, driven mainly by higher energy and fuel prices, prompting businesses to raise selling prices.

We think that final PMIs for May add to the growing list of soft and hard data pointing to activity faltering midway through Q2 and firms and consumers increasingly feel the brunt of high energy prices and uncertainty related to US-Iran conflict resolution timeline. In response, we now think there is a real risk that Eurozone's GDP will contract in the second quarter, with a tangible risk of a marginal contraction.